

AI Infrastructure vs. Cloud Platforms

Financial Comparison

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Profitability

Ratio	FY2025
Net Profit Margin	10.8%
Return on Assets (ROA)	9.5%
Return on Equity (ROE)	18.9%
Return on Invested Capital (ROIC)	13.5%

Liquidity and Leverage

Ratio	FY2025
Current Ratio	1.05x
Quick Ratio	0.88x
Debt-to-Equity	0.99x
Times Interest Earned	35.2x
Times Burden Covered	20.9x

Efficiency (Days)

Ratio	FY2025
Collection Period	31 days
Days Sales in Cash	44.2 days
Payables Period	111 days

Valuation

Ratio	FY2025
Price / Earnings (P/E)	32.2x

Profitability

Profitability remains solid; strong return on equity (ROE)
Indicating effective use of shareholder capital

Liquidity and Leverage

Liquidity position is stable; current ratio suggests company can meet short-term obligations
Asset turnover reflects efficient use of assets to generate revenue at scale
Debt-to-equity shows moderate reliance on debt financing

Efficiency and Overall

A collection period of just 31 days reflects Amazon's strong customer payment cycle. Amazon shows strong operational performance with balanced financial risk AWS's AI services are the highest-margin layer of the business, and \$131.8B in FY2025 capital expenditure signals a deliberate bet on becoming the infrastructure backbone of enterprise AI.

Profitability

Ratio	2026
Net Profit Margin	55.6%
Return on Assets (ROA)	58.1%
Return on Equity (ROE)	76.3%
Return on Invested Capital (ROIC)	87.3%

Liquidity and Leverage

Ratio	2026
Current Ratio	3.91x
Quick Ratio	3.14x
Debt-to-Equity	0.31x
Times Interest Earned	503.42x
Times Burden Covered	825.23x

Efficiency (Days)

Ratio	2026
Collection Period (Days)	52.0 days
Days Sales in Cash	17.9 days
Payables Period (Days)	47.1 days

Valuation

Ratio	2026
Price / Earnings (P/E)	38.3x

Profitability

While the Net Margin remained stable at 55.6% , the ROIC at 87.3% it indicates that despite massive infrastructure investments, the returns on AI-related capital are accelerating even faster than the costs.

Liquidity and Leverage

With a Debt-to-Equity of only 0.31x and \$62.5 billion in cash, NVIDIA has the leverage to acquire emerging AI startups or aggressively buy back shares without needing outside financing.

Efficiency and Overall

Operational efficiency improved significantly as the collection period dropped by 12.5 days (now 52 days). Simultaneously, NVIDIA is paying its own bills faster, with the payables period falling by 23.5 days.

Profitability

Ratio	FY2025
Net Profit Margin	36.1%
Return on Assets (ROA)	16.5%
Return on Equity (ROE)	29.6%
Return on Invested Capital (ROIC)	39.5%

Liquidity and Leverage

Ratio	FY2025
Current Ratio	1.35x
Quick Ratio	1.16x
Debt-to-Equity	0.80x
Times Interest Earned	26x
Times Burden Covered	26x

Efficiency (Days)

Ratio	FY2025
Collection Period	90.6 days
Days Sales in Cash	39.2 days
Payables Period	36 days

Valuation

Ratio	FY2025
Price / Earnings (P/E)	36.3x

Profitability

Microsoft's 36.1% net margin is structurally protected by a subscription and SaaS revenue base that doesn't erode in downturns the way hardware-dependent peers do. That's the durability the 36.3x P/E is pricing in: recurring cash flows with high retention, not cyclical speculation.

Liquidity and Leverage

Microsoft deployed \$64.5 billion in AI capital expenditure this fiscal year without tapping external financing, a level of internally-funded scalability most enterprises at this revenue base simply cannot execute. The balance sheet here is a strategic weapon, not just a coverage metric.

Efficiency and Overall

The 90.6-day collection period is a byproduct of multi-year enterprise contract structures, not an operational failure. As the commercial book scales, more aggressive collection terms on renewal cycles represent a discrete free cash flow optimization opportunity and exactly the kind of targeted lever an activist mandate would pull.

Financial Comparison

NVIDIA	ROE 76.3% · ROIC 87.3% · D/E 0.31x Near-perfect capital efficiency. Already fully priced.
Microsoft	ROE 29.6% · ROIC 39.5% · D/E 0.80x Suggests strong and durable, with a 82-day AR lag to tighten.
Amazon	ROE 18.9% · ROIC 13.5% · D/E 0.99x Has the lowest returns among three; most room to improve.

*"If we only looked at the financials, we would choose **NVIDIA**. But when we consider AI and the future outlook, we would choose **AMAZON**."*

Why Amazon?

- While NVIDIA and Microsoft boast massive returns on capital, Amazon is trailing the pack at just 13.5%.
- Amazon's low-margin retail operations are actively masking the profitability of AWS, pulling the net margin down to 10.8%.
- The company is spending like an AI leader (\$131.8B CapEx) but returning capital like a traditional retailer.
- Stripping away retail inefficiencies will bridge the gap between Amazon's current metrics and its true potential as an AI powerhouse.

Improvements for Amazon

1. Retail Margin Discipline

Mandate a SKU-level profitability review. Exit or reprice categories earning below cost of capital, targeting a higher.

2. AWS Spin-Off Study

AWS has fundamentally different economics than retail. A standalone valuation would unlock hidden equity value. Demand a formal spin-off study within 12 months.

3. ROIC Targets Tied to Exec Pay

ROIC of 13.5% is insufficient. Publish ROIC targets in annual filings and tie executive compensation to a stated path to 20% ROIC within three years.